Lloyds Financial (Training Scenario) - Mortgage Lending SOP

1. Scope

This SOP governs residential mortgage lending decisions for the Premier and Standard product lines. It is a training-scenario document and does not represent a real Lloyds policy.

2. Affordability Assessment

Every application must pass a stressed-rate affordability check at the product rate plus 2.0 percentage points. The maximum loan-to-income multiple is 4.5x gross annual income for Standard, and 5.0x for Premier customers who hold an active Premier Current Account for 12+ months.

3. Fixed Rate Mortgage - Current Terms

The 2-Year Fixed Rate Mortgage is offered at 4.79% APR for loan-to-value (LTV) up to 75%, and 5.09% APR for LTV between 75% and 90%. An early repayment charge of 2% of the outstanding balance applies if the mortgage is redeemed within the fixed period.

4. Overdraft Facility - Current Terms

Arranged overdrafts on a Premier Current Account carry an Effective Annual Rate (EAR) of 19.9%. This rate is reviewed quarterly and was last confirmed current as of this document's publication.

5. Fraud Referral Threshold

Any single transaction exceeding GBP 8,000, or any account showing three or more transactions above GBP 2,000 within a rolling 24-hour window, must be referred to the Fraud Operations queue before funds are released.